THE UNITED REPUBLIC OF TANZANIA

PRESIDENT'S OFFICE

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

NORTH WESTERN ZONE FORM FOUR FORM PRE-NATIONAL EXAMINATION

061 TIME: 3HRS COMMERCE - 20/9/2024

INSTRUCTIONS

1. This paper consists of sections A, B and C with total of eleven (11) questions
2. Answer all questions in sections A, B and two (2) questions from section C
3. All writing should be in blue or black pen, except for diagrams that must be drawn in pencil
4. Cellular phones and any other unauthorized materials are not allowed in the examination room
5. Write your examination number or name on every page of your answer booklet(s) provided

SECTION A (16 Marks)

Answer all questions in this section

1. For each of the items (1) – (x), choose the correct answer from among the given alternatives and write its letter beside the item number.

i. If a large change in price brings about small change in quantity demanded the price elasticity of demand is

a) in elastic
b) perfect inelastic
c) elastic
d) unity
e) Perfect elastic

ii. Jonathan is a worker in XY enterprise, her responsibility is to ensure the old stock and the new stock is placed in such a way that one can easily identify them. What function of stock administration is fulfilled by her?

a) stock valuation

b) Care of stock

c) Placing of items

d) Stock taking

e) Issuing stocks

iii. Suppose you have about 500 tons of maize from Tanzania mainland and they urgently needed Zanzibar island. Which means of transport will appropriate for transporting

a) Air transport

b) Water transport

c) Road transport

d) Pipeline transport

e) Railway transport

iv. Tanzania imports more visible goods compared to what she exports. As commercial students what do you think the country is experiencing?

a) Unfavorable balance of trade

b) Favorable balance of payment

c) Favorable balance of trade

d) Balanced balance of payment

e) Unfavorable balance of payment

v. A continuing rise in the general price level enhance fall in the purchasing power of money is known as

a) Deflation

b) Disinflation

c) Inflation

d) Reflation

e) Falling and rising

vi. The following are the functions of retailers except

a) Selling goods to consumers

b) Holding stocks in large quantities

c) Giving advice to customers

d) Making goods available to customers any time

e) Celebrating with customers

vii. The following are the functions of advertising agencies except

a) They advise on the medium to be used and name of new product
b) They carry out research market before creating an advertising
c) They create an advertising
d) They connect the advertiser with medium owners
e) They make a legal tender on behalf of the customers

Viii The following are the advantages of grading except

a) reduces the cost of adverting and marketing
b) Wider market
c) Selection by customers
d) Promotion policies and strategies
e) easy realization of claims

ix Movement alongside the supply curve is caused by

a) Change in price of commodity
b) Change in quantity demand
c) Increase in price of the commodity
d) Decrease in price of the commodity
e) Increase in quantity supplied

x. an agent authorized to sell goods on commission at public auction is called

a) Commission Agent
b) Broker
c) Auctioneer
d) Forward agent
e) Authorized agent

2. Match the meaning of the goods terminologies in list A with the relevant terminologies in list B by writing the letter of the correct terminology below the corresponding item number

COLUMN A	COLUMN B
i. A document indicates an agreement between MS Paul and National Insurance Company	A. Premium
ii. A document filled by MS Paul request compensation from National Insurance Company	B. Indemnity
iii. MS Paul restored to her original position	C. Proposal form
iv. National Insurance Company took the destroyed car soon after compensation Ms. Jason	D. Surrender value
v. Ms. Paul paid TSH 50,000 to National Insurance Company as part of agreement on monthly basis.	E. Policy
vi. Ms. Paul decide to cancel the agreement with National Insurance Company on 1 July 2022. She supposed to receive	F. Subrogation
	G. Contribution
	H. Claim form
	I. Insurable Interest

SECTION B (54 MARKS)

Answer all questions in this section

3. Globalization simplifies marketing now people may sell their products without reach to the market place. Why advertising emphasizes a business (five points)

4. There is one country which is land lock country that country needs to transfer large amount of oil from abroad via to Tanzania. Mention kind of transport she will be going to use and discuss three merits and three demerits of that transport.

5. Kange had an open stock of Tsh. 20,000 and a closing stock Tsh. 25,000. His net purchases for the year amounted to tsh. 150,000 and 40% of markup is applied his expenses for the year was Tsh 28,600 find the following

a) cost price
b) Gross profit
c) Margin percentage
d) Turnover
e) Net profit

6. In our daily life we cannot live without to communicate with other people therefore it involves very important element, with the aid of diagram explain this elements.

7. Firm X has just begun its operation in the country. It plans to put up ware house to store both its raw materials and finished goods. Explain some of the requirements of its warehouse should have for it to function effectively. Give five points.

8. Suppose you are an insurance assessor, many clients complain about variation of premium amount changed to the (life insurance), what factor you will analyze to educate them about the variation of premium. Give five reasons.

SECTION C (30 MARKS)

Answer two questions from this section

9. Justify the reasons to why government of Tanzania establishes Tanzania Revenue Authority (TRA). Give six (6) points.

10. Mr. Sway is the sole trader and two of his friends have consulted him in a bid to combine their business in order to establish a partnership business. He worried of risking his capital in to a partnership business. Help him to clear doubt by six benefits of partnership business.

11.The members of Parliament of Mbuni country argued that being isolated from other countries is advantage as it omits over dependency and depression. As an expert in commerce, basing on the merits of international trade, explain to them on why should international trade be applied by countries? Give six (6) points.